of the Arab uprisings ('an uprising for bread') in order to understand the social impact of this problem.

There are three explanations for the persistence of food-price inflation. The first attributes the upward trend to the formation of bubbles, produced by speculation over future grain prices. This dynamic channels the excess liquidity generated by the lack of investment opportunities in developed countries into the foodstuff markets. Commodity traders in the United States place obscene bets on the prices of basic human needs every day. Before 2000, the futures market for these products was regulated and placed strict requirements on traders to disclose their positions. These regulations were abolished and these markets were opened to short-term investment funds.

Investors arrived en masse and in 2007 total transactions averaged US$9 billion. Financiers later perfected their operations and they no longer even sign futures contracts. They buy and sell commodities according to daily price fluctuations without any intention of ever taking physical possession of them. They simply manage contracts through financial derivatives which, consequently, increased by 600% in this sector between 2002 and 2008.[26] Big banks (BNP Paribas, Deutsche Bank, JP Morgan, Morgan Stanley, Goldman Sachs) specialised in this type of activity to restore profits after the 2008 crash and were directly involved in the abrupt price hikes for the three foodstuffs which comprise 75% of basic global consumption (corn, rice and wheat).[27]

The second explanation argues that the increase in food prices stems from activities which have indirectly affected these basic products. These developments increase the cost of inputs and accentuate soil exhaustion. Food prices also rise along with oil, transportation and irrigation, and the same general effect emerges from the expansion of supermarkets, which inflate demand by introducing new consumer habits.

The final explanation asserts that increasing food costs are a structural problem, driven by demand from new Asian consumers. And although supply has expanded because of productivity improvements, these analysts believe that change in diets for millions of new consumers has impacted all prices.

Taken together, these three explanations point to complementary aspects of the same phenomena. In the coming years, it may become clear which of these three has been the main determinant in causing food shortages. But whatever the most important cause, be it financial manoeuvres, competing activities, or structural gaps between production and consumption, the results are the same: an exacerbation of the tragedy of hunger.

Neoliberal globalisation provides the backdrop for this scourge. It mandated